

ECO 221(03): Intermediate Macroeconomics

Assignment I

***DEPARTMENT OF ECONOMICS AND STATISTICS, FACULTY OF SOCIAL SCIENCES
AND LANGUAGES***

SABARAGAMUWA UNIVERSITY OF SRI LANKA.

YEAR II SEMESTER II: 2025

Lecturer: T.P.H.P. Gunathilaka

Individual Assignment (20 Marks)

Case Study Background:

In early 2025, U.S. President Donald Trump implemented a series of aggressive tariff measures targeting imports from various countries, including a 44% tariff on approximately \$3 billion worth of Sri Lankan exports, predominantly in the apparel sector. This move is part of a broader protectionist agenda aimed at addressing perceived unfair trade practices. While some Sri Lankan exporters see potential opportunities due to trade diversions from countries like China and Mexico, the overall economic implications for Sri Lanka are multifaceted. The country, emerging from a severe financial crisis and under an IMF-supported recovery program, faces challenges such as high poverty rates, a significant debt burden, and a reliance on external demand. The World Bank projects a 3.5% GDP growth for Sri Lanka in 2025, but this forecast is under pressure due to the new U.S. tariffs.

Questions:

Analyze the macroeconomic impact of the recent U.S. tariff policies on Sri Lanka's economy in a report. Your report analysis should address the following sub-questions:

- i. Explain how the U.S. tariffs on Sri Lankan exports affect the country's trade balance and current account.
- ii. Evaluate how these changes might influence unemployment and inflation in Sri Lanka.
- iii. Analyze how the U.S. tariffs could impact the Sri Lankan rupee's exchange rate and the role of the central bank in responding to these changes.
- iv. Assess the fiscal challenges Sri Lanka faces in light of decreased export revenues and potential capital outflows.

Instructions

- Your analysis should integrate relevant macroeconomic theories and models.
- Incorporate recent data and trends where applicable.
- Critically evaluate both the challenges and opportunities presented by the U.S. tariff policies.

Deadline: you need to submit your assignment **on or before 8th May 6.00 pm** to the below mentioned submission link. Please note that you need to submit only PDF file.

Formatting Guidelines:

- Word count: Should be between 2000-2500 (Except Annexes)
- Font Style: Times New Roman
- Font Size:
 - Heading: 14, Bold Align: Left (Justified)
 - Subheading: 12, Bold Align: Left (Justified)
 - Body: 12
- Alignment: Justified, Line Space: 1.5
- Page Margins: Left – 1.2', Others - 0.8'
- Reference Style: APA 6th or 7th
- Rename the report as your Reg. number – E.g.: 21SSL****.pdf
- Submission Link : <https://forms.gle/ZcBkg6M2nsg5WZ3C6>